IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT-II)

COMPANY PETITION NO. CP(CAA)-74(ND)/2022
CONNECTED WITH
COMPANY APPLICATION NO. CA(CAA)-16(ND)/2022

IN THE MATTER OF SCHEME OF AMALGAMATION:

BETWEEN

RAAMA BUILDCON PRIVATE LIMITED
Having its Registered Office at:
D-49, MANSAROVAR PARK,
SHAHADARA, Delhi-110032

... Petitioner No.1 /Transferor Company No. 1

AND

S.K. TECHNOBUILD PRIVATE LIMITED
Having its Registered Office at:
D-49, MANSAROVAR PARK,
SHAHADARA, Delhi-110032

... Petitioner No.2 /Transferor Company No. 2

AND

NEELKANTH TOWERS PRIVATE LIMITED
Having its Registered Office at:
H.NO.35, IIIRD FLOOR CHURCH ROAD, JANGPURA,
New Delhi, BHOGAL, Delhi, India, 110014

... Petitioner No.3 /Transferor Company No. 3

WITH

ASHTECH INDUSTRIES PRIVATE LIMITED

Having its Registered Office at:

D-49, MANSAROVAR PARK,

SHAHADARA, Delhi-110032

... Petitioner No.4 /Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 07.10.2024

Under Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. SUBRATA KUMAR DASH, HON'BLE MEMBER (T)

PRESENT:

For the Petitioner	**:**	Adv. Saurabh Kalia, Adv. Karan Mehta Mr. Rajeev K Goel, Mr. Kartikeya Goel Advs
For the RD	**:**	Adv. Shankari Mishra
For the OL	**:**	Ms. Hemlata Rawat, Mr. Aayushmaan Vatsyayana

ORDER

The present petition has been preferred by the Transferor Company Nos. 1, 2 & 3 and the Transferee Company jointly under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. **RAAMA BUILDCON PRIVATE LIMITED** (hereinafter referred to as the "Petitioner No. 1/Transferor Company No. 1") having CIN U45201DL2003PTC119076 is a company incorporated on 21.02.2003 under the Companies Act, 1956. The registered office of the Transferor Company No. 1 is situated at D-49, MANSAROVAR PARK, SHAHADARA, DELHI, Delhi, India, 110032.

3. **S.K. TECHNOBUILD PRIVATE LIMITED** (hereinafter referred to as the "Petitioner No. 2/Transferor Company No. 2") having CIN U70101DL2006PTC147103 is a Company incorporated on 03.03.2006 under the provisions of the Companies Act, 1956. The Registered Office of the Transferor Company No. 2 is situated at D-49, MANSAROVAR PARK, SHAHADARA, DELHI, Delhi, India, 110032.

4. **NEELKANTH TOWERS PRIVATE LIMITED** (hereinafter referred to as the "Petitioner No. 3/Transferor Company No. 3") having CIN

U45201DL2002PTC116745 is a Company incorporated on 28.08.2002 under the provisions of the Companies Act, 1956. The Registered Office of the Transferor Company No. 2 is situated at H.NO.35, IIIRD FLOOR CHURCH ROAD, JANGPURA, New Delhi, BHOGAL, Delhi, India, 110014.

5. **ASHTECH INDUSTRIES PRIVATE LIMITED** (hereinafter referred to as the "Petitioner No. 4/Transferee Company") having CIN U74899DL2002PTC116862 is a Company incorporated on 06.09.2002 under the provisions of the Companies Act, 1956, the Transferee Company is having its Registered Office at D-49, MANSAROVAR PARK, SHAHADARA, DELHI, Delhi, India, 110032.

6. The present Petition has been filed jointly by all the Transferor Companies and Transferee Company. **All the 'Transferor' and 'Transferee' Companies together are called 'Petitioner Companies' hereinafter**. The Registered offices of all the Companies being in Delhi, the jurisdiction lies with this Bench.

7. From the records, it is seen that the First Motion petition was filed by the Petitioner Companies seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Companies. Further, in the First Motion Application bearing No. C.A.(CAA) 16/ND/2022 under Section 230-232 of Companies Act 2013, directions were issued by this Tribunal vide its Order dated 18.04.2022 to dispense with the requirement of convening the meetings of the Equity Shareholders and Unsecured Creditors of the Transferor Companies. Further directions were issued for convening a

meeting of the Secured Creditors of the Transferee Company on 29.04.2022 under the Chairman appointed by this Tribunal in order to obtain consensus on the proposed Scheme.

8. At the request of the Applicants, the said meeting was revised to be convened on 10.06.2022 vide our Order dated 20.04.2022.

9. The Appointed Date as per clause 1.1(iv) of the Proposed Scheme of Amalgamation is 01.04.2021.

10. Subsequently, the Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for fixing a date of hearing as well as other consequential directions in terms of Section 230-232 of the Companies Act, 2013 read with Rule 16 of the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016. Directions were issued, vide Order dated 13.07.2022 of this Tribunal, requiring the Petitioner Companies to carry out necessary publication with regard to the said Scheme in "Business Standard" (English) and (Hindi) Delhi Edition newspapers.

11. It is submitted by the Petitioner Companies that in compliance of the above stated directions, the Petitioner Companies have duly filed an Affidavit of Service confirming that the aforesaid Notices of the present Company Petition were published on 16.07.2022 in the "Business Standard" (English) and (Hindi) Delhi Edition newspapers. Further, Notice of the Petition was also effected on the concerned sectoral regulators.

12. In response, the ROC, Delhi in its Report dated 21.12.2022 has made the following observations:

12.1 The MCA General Circular No. 09/2019 states that if an appointed date is significantly ante-dated beyond a year from the date of filling, the justification must be explicitly stated in the scheme and should not be against public interest. The scheme, as per clause 5 (b), will be effective from its appointed date, as per section 232(6). However, it must clearly indicate the effective date, and the scheme needs to be modified accordingly.

12.2 The Audited Financial Statement for F.Y.2020-21 reveals that the Transferor Companies have had no revenue for the previous two years, making them dormant under Section 455 of the Companies Act, 2013.

12.3 The Audited Financial Statement for FY 2020-21 reveals Transferor Company 1 financial assets exceed 50% of the company's total assets, suggesting it operates as a NBFC but is not registered with the RBI.

12.4 The Audited Financial Statements of Transferor Company 1 reveal that the company provided Rs. 94,00,000/- in long-term loans and advances to the Transferee Company, requiring compliance with Section 185 of the Companies Act, 2013.

12.5 The Auditor's Report for F.Y.2020-21 in Transferor Company Nos. 2 and 3 states that the company provided an interest-free loan to Body Corporate of Rs. 12,85,000/- and Rs. 35,00,000/- respectively but the terms and conditions are not available in writing.

12.6 In the Transferee Company, the Auditor has stated in his report for the F.Y. 2020-21, that the company has one dispute

pending with respect to Income Tax. The details of the same are as under:

Financial Year	Demand Raise	Nature	Remarks
2016-17	14,07,983	Income Tax	Appeal before CIT(A) against assessment proceedings u/s 143(3).

13. The Petitioner Companies filed their reply to the aforementioned observations of the ROC and the same was considered. Subsequently, the Ld. RD has submitted the following:

"13.1 In Reply to query No. 4 of ROC, Delhi report dt. 21.12.2023 no specific comment has been given by the company with reference to financial assets being more than 50% of the total assets of the company, hence the observation of the concerned ROC that the Company is being operated as an NBFC without being registered as one remains unanswered accordingly, Hon'ble Tribunal may consider issuing formal notice to RBI before considering the scheme.

13.2 Reply to query No. 5 of ROC, Delhi report dt. 21.12.2023 is not satisfactory as the long-term loan is still standing in the books of Transferor company no. 1 hence the compliance of section 185 of Companies Act, 2013 becomes mandatory.

13.3 No specific reply to query No. 6 & 7 of ROC, Delhi report dt. 21.12.2023 is given by the company. Moreover, the contention that the Ministry is free to take necessary appropriate action for any act of omission or commission by petitioner companies no. 2 & 3 is not correct."

14. The Petitioner Companies in response to the observations made by the RD/ROC, Delhi have stated as under:

14.1 The Transferor and Transferee Companies' Boards approved the Scheme of Amalgamation on 30.11.2021, with the Appointed Date as 01.04.2021. The First Motion Joint Application was filed on 19.02.2022, i.e., within one year of the Appointed Date. In this connection, a reference is made to the extract from the MCA Circular dated 21.08.2019 (Para 7.1.10). In view of the same, no adverse conclusion can be drawn in this regard.

14.2 As regards the objection that the Transferor Company are dormant companies, it has been clarified that none of them fall under the category of Dormant Company within the meaning of Section 455. All the Transferor Companies No. 1 to 3 are engaged in purchase, sale and trading of building and construction material; and various other activities along with the Transferee Company while Transferee Company is engaged in purchase, sale and trading of fly ash, building and construction material; manufacturing of fly ash bricks and ready-mix concrete (RMC); leasing of construction equipment; real estate leasing business; transport and logistics services as they have been making all the due compliances and filing requisite documents as active companies under the Companies Act, 2013.

14.3 As regards the long term loan and advances of Rs. 94,00,000 given by the Transferor Company No. 1 to the Transferee Company, it is clarified by the Petitioner Companies that the same was made under the provisions of Section 295 of the Companies Act, 1956, and other applicable provisions, if any. The provisions of Section 295 of Companies Act, 1956 were not applicable to the Transferor Company, being a private company. As the loan was given before Companies Act, 2013 became applicable, provisions of Section 185 of Companies Act, 2013 are not applicable. Regardless of the legal contention, the Petitioner Transferee Company has made compliance of the same and a Certificate from a Practicing Company Secretary confirming the aforesaid and requisite e-forms filed have been filed before the ROC.

14.4 Regarding the objection that the company is being operated as an NBFC without being registered as one, the Petitioner Companies have annexed a Certificate from the Chartered Accountants in their Reply Affidavit on behalf of Transferee Company in response to the Report of RD dated 28.02.2024 confirming that the Transferor Company No. 1 does not satisfy the dual business criteria as defined under the RBI regulations for NBFCs. The said certificate reads thus:

We have perused the Audited Financial Statements for the year ended 31st March, 2022 of **Raama Buildcon Private Limited** [CIN: U45201DL2003PTC119076] having its registered office at D-49, Mansarovar Park, Shahadara, Delhi-110032, India being the Transferor Company No. 1 in the proposed Scheme of Amalgamation of Raama Buildcon Private Limited, S.K. Technobuild Private Limited and Neelkanth Towers Private Limited with Ashtech Industries Private Limited. On the basis of such perusal and explanation given to us, we, the undersigned Chartered Accountants, do hereby certify and confirm that the Petitioner Transferor Company No. 1 is not a Non-Banking Finance Company (NBFC) as defined in the Reserve Bank of India Act, 1934.

We further confirm that in terms of the provisions of the Reserve Bank of India Act, 1934, the Petitioner Transferor Company No. 1 is not required to obtain RBI registration or RBI NOC for the proposed Scheme of Amalgamation.

This certificate has been issued on the specific request made by the Company.

14.5 Further as regards the loans of Rs. 12,85,000/- and Rs. 35,00,000/- during F.Y. 2020-21, it is submitted that the copies of the terms and conditions of the loan to the body corporate granted by the Transferor Company No. 2 and 3 and the Board Resolution approving the same have been annexed as Annexure 4 and 5 of the Affidavit respectively.

14.6 Regarding the observation of the RD relating to pending dispute pertaining to Income Tax, we are of the view that it does not come in the way of approving the Scheme as the Transferee Company has undertaken that it will make the payment as per the final outcome of the appeal before Ld. CIT (Appeals).

15. During the course of hearing on 01.03.2024, this Tribunal observed an anomaly in the response filed by the Applicants to the queries raised by the RD. The relevant excerpt of the Order dated 01.03.2024 reads thus:

There is an anomaly in the response filed by the Applicants to the queries raised by the RD. When the Applicants have admitted the deposits made by Transferor Company No. 1 as also the fact that more than 50% of the Companies' funds are deployed in investment and loan and advances. The Applicants have stated that its 100% turn-over is with reference to Non-financial activities. The two pleas cannot be reconciled, and confronted with the situation, the Ld. Counsel appearing for the Applicants seeks an opportunity to file the affidavit amplifying the anomaly. In the affidavit to be filed by the Applicants, they shall clearly state that the revenue generated by the Transferor Company No. 1 from Financial activities and Non-financial related other activities. Let the needful be done within two weeks.

16. Pursuant to the directions, the Petitioner Company/ Transferor Company No. 1 in its Affidavit dated 11.06.2024 submitted that the Transferor Company No. 1 has not undertaken any non-banking financial business as its principal business activity. The relevant excerpt reads thus:

c. As clarified above, the Transferor Company No. 1 is not engaged in the NBFC business as its principal business. Further, the entire gross income/revenue from operations of the Transferor Company No. 1 is generated from sale of building and construction material. Since, the dual criterion of NBFC Business is not satisfied, the Transferor Company No. 1 can not be classified as an NBFC.

17. It has been further undertaken in clause g. of the Reply/Affidavit dated 11.06.2024 on behalf of Petitioner Transferor Company No. 1 - Raama Buildcon Pvt Ltd in response to the Report/Affidavit filed by the Regional Director that the Transferee Company and its Directors will extend all cooperation to the Competent Authority for any proceedings that may be initiated with respect to the aforementioned contravention, and liberty is granted to the Competent Authority to take suitable

action against Directors or other the Officers-in-Default of the Transferee Company for any alleged contravention in the Transferor Companies prior to the amalgamation.

18. We have considered the stand of RD/ROC and that of the Petitioner Companies. As regards the observation made by the RD/ROC regarding Appointed Date being significantly ante-dated, we note that the Appointed Date is within one year of filing of application. Further, the Transferor Companies do not fall under the definition of Dormant Companies as they have furnished explanation to suggest that they have been actively pursuing their business in furtherance of their objective under the Articles. As regards the long term loans given by Transferor Company 1 amounting to Rs. 94,00,000/- to the Transferee Company, compliance of Section 185 of Companies Act, 2013 has been made by the Petitioner Transferee Company as reflected in the Annexure 3 of its Reply Affidavit dated 28.02.2024. We further note that the Transferor Company does not fall within the purview of NBFC as these companies do not satisfy the dual business criteria.

19. In view of the above explanations submitted by the Petitioner Companies, we are of the considered view that there are no substantive observations which will justify denying the sanction of this proposed Scheme of Amalagamation. We, however, make it clear the RD/ROC are at liberty to initiate action as per law against any of these companies, if warranted by the facts on record.

20. The OL has also filed its report dated 21.12.2022 and has not raised any objection towards the approval of Scheme. The relevant excerpts of the OL report reads thus:

> *"17. That the Official Liquidator has not received any complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner till the date of filing of this Report.*
>
> *XXXX*
>
> *19. That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 1956/ the Companies Act, 2013 whichever is applicable."*

21. As can be seen from the record, the Income Tax Department have raised NIL demand with respect to the Transferor Companies with regards the proposed Scheme of Amalgamation. Also, the ITD through ACIT, Circle 22(2), New Delhi has put forth that Transferor Company No. 2, M/s S.K. Technobuild Pvt. Ltd. has carried forward losses, therefore the provisions of Section 72A of Income Tax Act need to be complied with. It has been stated on Affidavit dated 21.04.2023 that the Petitioner Transferee Company will comply with the provisions of Section 72A and any demand that may be raised by the Income Tax Department.

21.1 The Transferee Company is not a subject matter of dissolution and hence the sanction of the Scheme of Amalgamation will not adversely affect any pending proceedings in the Transferee Company. The Transferee Company undertakes to pay any demand that may be

raised by the Income Tax Department subsequent to the outcome of the aforesaid appeal.

22. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of all the Petitioner Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Official Liquidator, Regional Director (North), Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. **Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Companies and Transferee Company (Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

23. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

24. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any

permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

25. **THIS TRIBUNAL FURTHER DIRECTS** with respect to Transferor Companies and Transferee Company, that:

(i) Upon the sanction becoming effective from the Appointed Date of Amalgamation i.e., 01.04.2021, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives, and concessions under incentive schemes and policies that the Transferor Companies are entitled to, including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/ deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Companies as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives, and concessions;

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor

Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor Companies and the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme. Further, the Petitioner Companies shall comply with the provisions relating to carry forward and set off of accumulated loss and unabsorbed

depreciation allowance in amalgamation or demerger, etc as laid down under Section 72A of the Income Tax Act, 1961.

(viii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

26. The Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

27. The Company Petition is allowed in the aforesaid terms.

Sd/-	Sd/-
(SUBRATA KUMAR DASH)	**(ASHOK KUMAR BHARDWAJ)**
MEMBER (T)	**MEMBER (J)**